

Booster SHOT

D. Subbarao has deconstructed Y.V. Reddy's tight money regime. His therapy is liquidity, but more must be done.

RBI GOVERNOR
D. SUBBARAO
IS EXPECTED
TO DO MORE

Making Money Talk

The recent RBI measures to pump-prime the economy leave much to be desired

By Malini Bhupta

Weeks before Christ-mas, the Reserve Bank of India (RBI) Governor Duvvuri Subbarao has decided to play Santa Claus by loosening his purse strings to spread cheer among cash-strapped corporates. Even as National Security Guard commandos were battling to save Mumbai from terrorists, the Central bank too was battling to save India Inc from slipping into a recession. That's been Subbarao's mandate from the time he's taken charge as the boss of Mint Street. By cutting the repo rate from 9 per cent to 6.5 per cent, reverse repo to 5 per cent from 6 per cent and cash reserve ratio (CRR) by 350 bps to 5.5 per cent, Subbarao has undone in three months what his predecessor Y.V. Reddy achieved in four years.

Perhaps he didn't have a choice. With industrial activity slowing down in

October 15

MEASURES: CRR cut from 7.5 per cent to 6.5 per cent

INTENDED IMPACT: To ease liquidity and cut rates with Rs 40,000-crore infusion

REAL IMPACT Prime lending rate down only 50 bps compared to November 2007

November 15

MEASURES: Banks allowed to raise outstanding export credit limit from 15 per cent to 50 per cent

INTENDED IMPACT: Provide cheap funding for banks for export credit

REAL IMPACT Customers seek 270-365 days credit from exporters, so 180-day window doesn't help

UMESH GOSWAMI